

Germany: Federal Spending Picked Up Notably in April

BOTTOM LINE: German federal expenditures in April came in at EUR 45.8bn, notably above our EUR 42.2bn forecast and EUR 8.0bn higher than in April 2025. Spending was in line with our expectations in the main budget and the military fund and exceeded expectations notably in the infrastructure & climate fund. With revenues falling slightly short of expectations, the fiscal balance was more negative than we expected and remains notably wider than we expected at the start of the year. The fiscal data since the start of the year supports our view of a notable fiscal expansion in 2026, which we expect to provide a fiscal impulse of around 0.6pp.

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KEY NUMBERS:

Expenditures in the Main Budget (April): EUR 38.6bn (vs. GS expected EUR 38.3bn and 2025 Realized EUR 36.8bn)

Expenditures (implied) in the Military Fund (April): EUR 1.2bn (vs. GS expected EUR 1.0bn and 2025 Realized EUR 0.9bn)

Expenditures (implied) in the Infrastructure and Climate Fund (April): EUR 6.1bn (vs. GS expected EUR 2.9bn and 2025 Realized EUR 0bn)

MAIN POINTS:

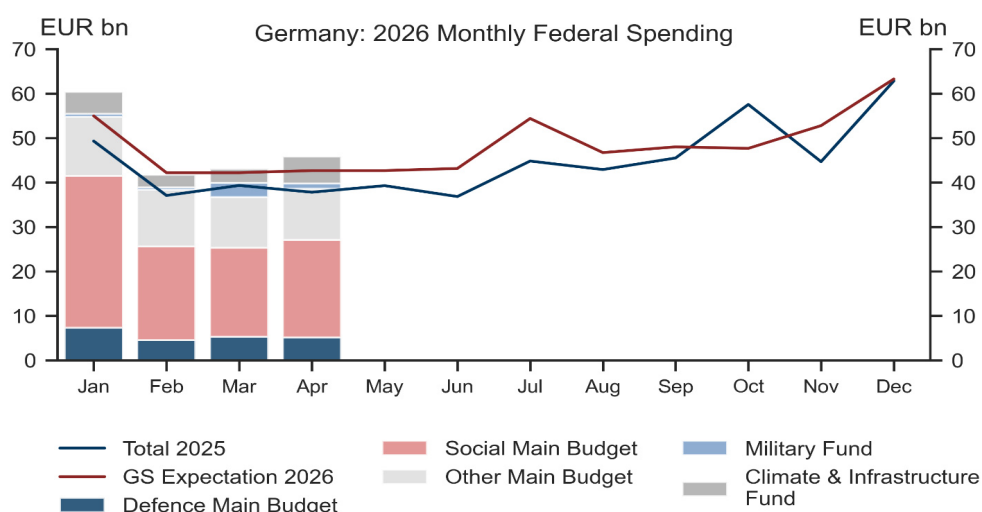
1. German fiscal data for April came in notably above our expectations. Overall spending across the main budget and the off-budget funds for the military and for infrastructure & climate came in at EUR 45.8bn, notably above our expectations of EUR 42.2bn and EUR 8.1bn higher than spending in April 2025.
2. Spending stood at EUR 38.6bn in the main budget in April, about EUR 0.3bn above our expectation and EUR 1.8bn above April last year. Both social spending and investment were higher than we expected, while defence spending in the main budget continued to fall slightly short of our expectations.
3. Spending in the off-budget military fund (implied by the fund's issuance activity) stood at EUR 1.2bn, slightly higher than our expectation of EUR 1.0bn and also higher than last year's EUR 0.9bn. YTD spending in the military fund is up EUR 1.7bn (+44%) from last year and total defence spending is up EUR 7.0bn (+34%). Spending in the infrastructure fund (implied by the fund's issuance activity) came in at EUR 6.1bn, notably above our expectation. Data on spending in the federal bucket of this fund, which came in at only EUR 0.7bn in April, suggests that the upside surprise came either from disbursement to the states or spending in the climate transformation fund. As the infrastructure & climate fund was only established last autumn, there are no comparable numbers for last year, but total spending out of

this fund remains notably higher than the decrease in infrastructure-related items in the main budget compared to last year.

4. As revenues in the main budget came in below our expectations, the fiscal balance in the main budget was wider than we expected at EUR -9.2bn (vs. EUR -8.0bn expected). Net issuance in the military fund stood at EUR 1.2bn and in the infrastructure & climate fund it stood at EUR 6.1bn, adding up to a total fiscal deficit of EUR -16.4bn in April. The cumulative fiscal deficit through April stood at EUR -63.6bn, EUR 18.8bn wider than we expected at the start of the year and EUR 36.2bn wider than in April last year.

5. The fiscal data since the start of the year supports our view of a notable fiscal expansion in 2026, which we expect to provide a fiscal impulse of around 0.6pp.¹ Due to a larger fiscal deficit year-to-date than we expected, we continue to see some upside risk to our fiscal impulse estimate.

Exhibit 1: Federal Spending in April was Notably Above Our Expectations

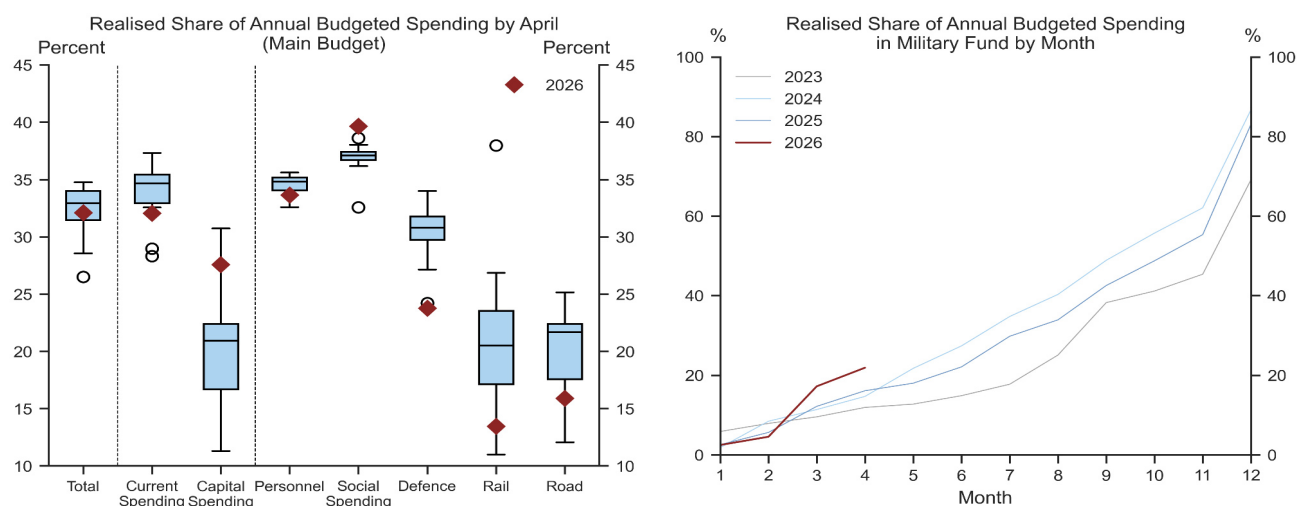


For the fully debt financed military and climate & transformation off-budget funds we infer monthly spending from monthly net issuance.

Source: Haver Analytics, Goldman Sachs Global Investment Research

¹ We recently upgraded our fiscal impulse estimate slightly by 0.1pp to reflect the lower than previously expected 2025 budget deficit.

Exhibit 2: Budget Execution in the Main Budget is in Line with Historical Norms; Spending from the Military Fund has Picked Up Notably



Source: Bundesministerium der Finanzen, Goldman Sachs Global Investment Research

Exhibit 3: Overview of the German Federal Budget for 2026

	2025			2026 FY			Execution Until Apr					Execution in Apr				
	Budgeted	Realized	Share Realized (3)/(2)	Budgeted	GS Expectation	Expected Share (5)/(4)	Realized 2025	GS Expectation 2026	Realized 2026	Realized 2026 vs. 2025 (9)/(7)	Realized vs. GS Expectation (9)/(8)	Realized 2025	GS Expectation 2026	Realized 2026	Realized vs. 2025	Realized vs. GS Expectation
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)
Main Budget : Revenues	420.7	427.9	102%	426.4	430.0	101%	136.0	136.7	127.3	94%	93%	30.2	30.4	29.4	97%	97%
Main Budget: Spending	502.5	493.3	98%	524.5	510.5	97%	159.5	166.2	168.4	106%	101%	36.8	38.3	38.6	105%	101%
Social Spending	235.9	234.1	99%	245.1	245.0	100%	86.5	90.4	97.2	112%	107%	20.7	20.3	22.0	106%	108%
Defence	69.9	67.0	96%	93.5	87.0	93%	16.9	26.5	22.2	131%	84%	4.2	6.5	5.1	123%	78%
Other	196.7	192.2	98%	185.9	178.5	96%	56.1	49.2	49.0	87%	100%	12.0	11.5	11.5	96%	100%
Memo: Investment	62.7	55.4	88%	58.4	50.9	87%	14.2	13.1	16.1	113%	123%	3.0	2.8	3.4	113%	123%
Main Budget: Fiscal Balance	- 81.9	- 65.4	80%	- 98.1	- 80.5	82%	- 23.5	- 29.5	- 41.0	175%	139%	- 6.6	- 8.0	- 9.2	138%	115%
Off-Budget Funds																
Military	24.1	20.0	83%	25.5	21.5	84%	3.9	3.9	5.6	144%	144%	0.9	1.0	1.2	126%	123%
Climate Transformation	36.7	26.6	72%	34.8	30.1	86%	-	-	-	-	-	-	-	-	-	-
Climate & Infrastructure	37.2	24.3	65%	58.1	47.6	82%	-	11.4	17.0	-	148%	-	2.9	6.1	-	-
Memo																
Total Spending	590.5	554.2	94%	632.9	599.6	95%	-	-	-	-	-	-	-	-	-	-
Total Defence	94.0	87.0	93%	119.0	108.5	91%	20.8	30.4	27.8	134%	91%	5.1	7.5	6.3	123%	84%
Total Investment	115.6	86.8	75%	126.6	104.7	83%	-	-	-	-	-	-	-	-	-	-
Total Fiscal Balance	- 147.1	- 109.7	75%	- 183.8	- 149.6	81%	- 27.4	- 44.8	- 63.6	232%	142%	- 7.6	- 11.8	- 16.4	217%	139%

As the climate transformation fund does not publish monthly numbers, total spending, and investment cannot be inferred during the year. We assume the fiscal balance of the climate transformation fund to be 0 throughout the year in line with our expectation.

Source: Bundesministerium der Finanzen, Haver Analytics, Goldman Sachs Global Investment Research

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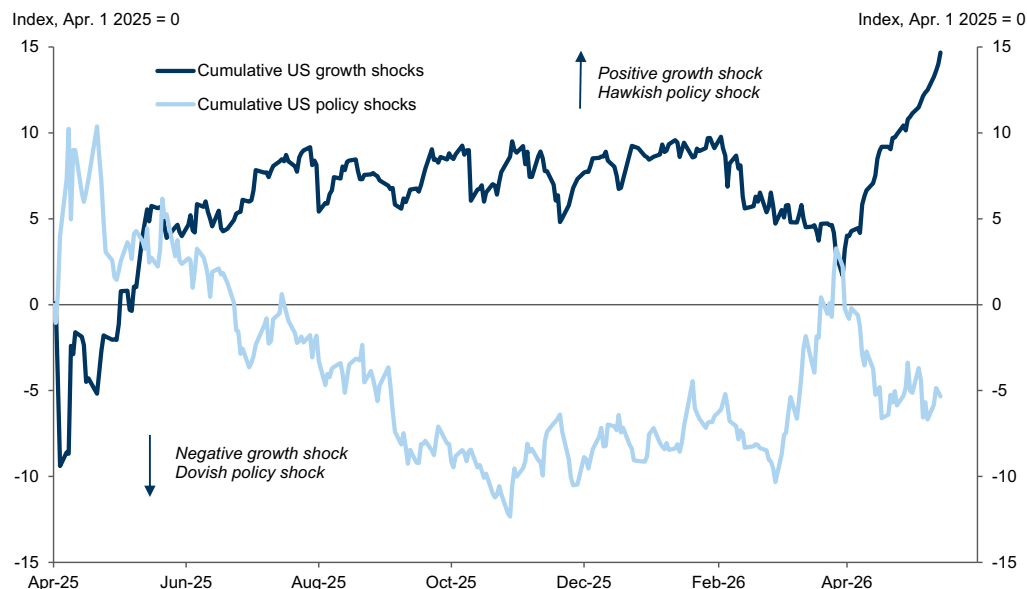
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Global Market Views: Shortages

1. The risks of relief. The Iran ceasefire and the reduction in deep downside tails have allowed the market to look ahead and compress risk premia across a range of assets. That type of narrowing in the distribution is often associated with sharp market gains in situations of fundamental uncertainty, and this has proved to be the case again. Despite oil prices and yields staying elevated, a broad range of assets—including US equities, high carry/commodity FX, and EM—have recovered smartly, and renewed AI optimism has pushed those exposures to new cycle highs. The common element is that shortages—in commodities and the AI supply chain—are driving capital flows. After a sharp recovery, the distribution of risks is more balanced. The most obvious downside threat is still a re-escalation of hostilities in the Middle East or a prolonged Hormuz closure that raises the probability of even higher oil prices, higher rates, lower growth and recession. As we wait, the flip side of shortages alongside more resilient growth is upward pressure on bond yields, which the market tends to worry about more when they break new ground. By contrast, even a gradual restart of energy flows should allow some relief across oil prices and rates markets that are now quite hawkishly priced, and lead to a broadening of the positive price action geographically and across sectors. Beyond that, we are in many ways back to the tensions we highlighted in our [outlook](#)—between well-valued assets and increasing concentration on the one hand (with AI-related exposures a poster-child for that), and a macro cycle that does not yet show the imbalances and leverage excess that is typical of late-cycle behaviour. Those tensions mean that even if we avoid the worst tails, we are likely to see volatility rise alongside further equity price increases.

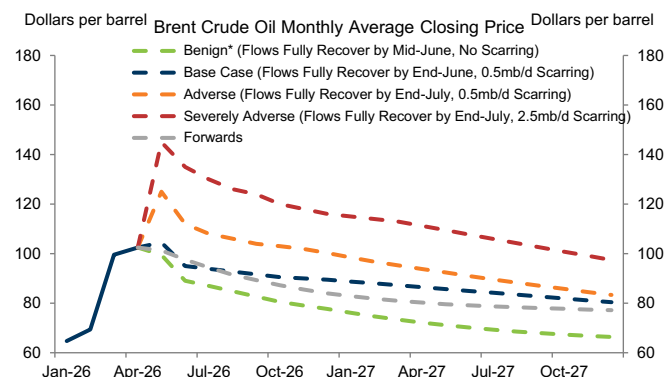
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Exhibit 1: Sharp relief in growth worries, policy shock lingers

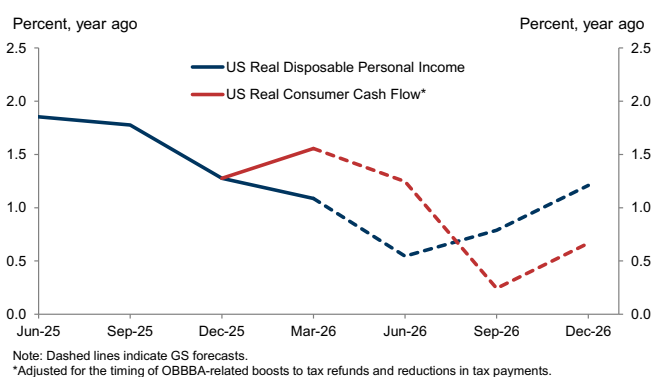
Source: Goldman Sachs Global Investment Research

2. Iran re-escalation still the main risk. The biggest risk to the macro picture still comes from a failure to resolve the Iran war and the flow of oil. Equities and other risk assets have priced in substantial relief on the basis that the deep tail risks are avoided. While that assumption holds, markets have been more tolerant of headline risk. But the flip side to this higher threshold for worry is that a more serious challenge to the market's optimism could lead to a larger repricing. Although we agree that the risks have fallen, the prospect of more adverse outcomes is still very real, and we think that deeper downside tail is underpriced. There is a challenging circularity here too: although markets are looking through any temporary disruptions, it may also be that another bout of market worry is needed to force an agreement that allows oil flows to resume. The longer we go without a clear peace agreement and a convincing reopening of the Strait of Hormuz, the more likely we are to revisit that risk as energy product shortages become clearer. We continue to think there is value in hedges against this outcome. Out-of-the money downside in European equities, credit and FX still screens best in our cross-asset comparisons. Longs in oil may also continue to be protective, though are also vulnerable to a full resolution of the crisis.

Exhibit 2: Oil price risks still skewed to the upside

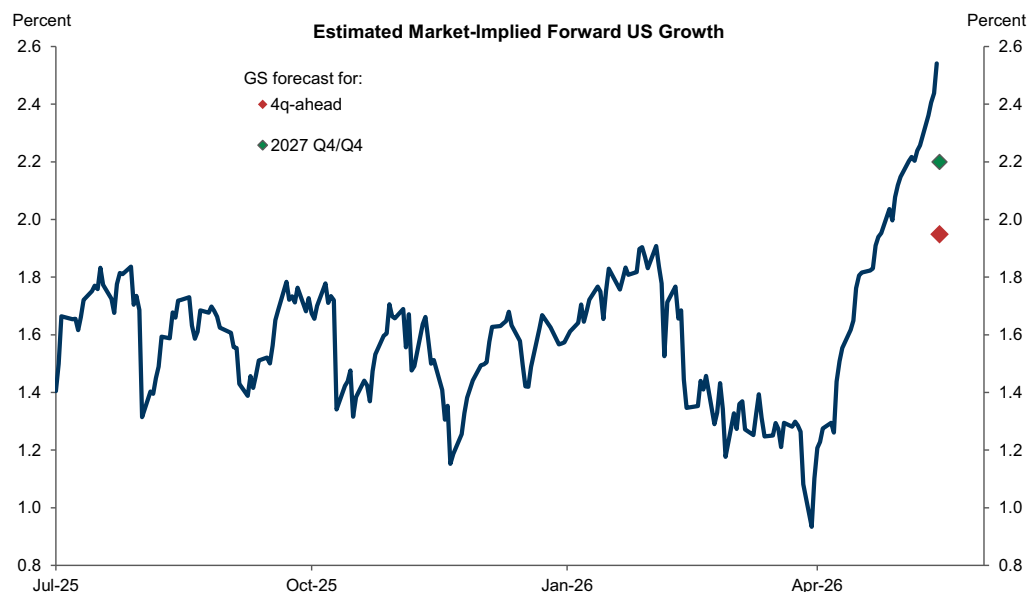
*Benign scenario includes higher US and core OPEC production.

Source: Goldman Sachs Global Investment Research

Exhibit 3: Real income softness ahead for the US

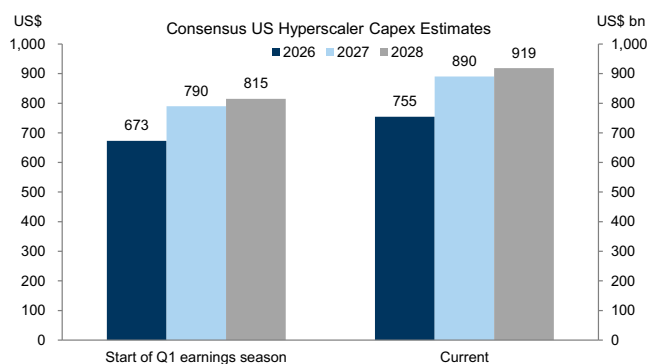
Source: Bureau of Economic Analysis, Haver Analytics, Goldman Sachs Global Investment Research

3. Macro optimism already well priced. The market has already priced significant relief. Our standard estimates of US growth pricing from the joint shifts in equities and bonds now stand at 2.5%. These measures may overstate the true cyclical optimism, since tech and commodity strength may be boosting them for other reasons, but they are consistent with a market that is already looking through the short-term weakness we expect to the better growth outlook in 2027, and is now potentially overshooting those levels. On our forecasts, there is room for some policy relief in the months ahead (our rate forecasts are generally dovish to market pricing) conditional on an Iran resolution. But with the US economy and labor market holding up better than widely expected, and inflation likely to be elevated at least in the short term, the scope for near-term policy relaxation is likely limited unless there is a very clear improvement in oil flows and an end to the war. Part of the reason why our measures of growth pricing have risen sharply is that bond yields and equities have been rising steadily together. Markets are now beginning to question whether that combination is sustainable. We think that inflation pressure is likely to begin to fade within a couple of months of the energy price peak and the market is already priced for hikes, including now in the US. So, while we may well see further near-term pressure for higher yields, we think that pressure will ultimately be contained. But given how relaxed equity markets have been about rising rates so far, markets may continue to worry in the coming weeks that a mix of more hawkish policy pricing and less bullish growth pricing may be needed.

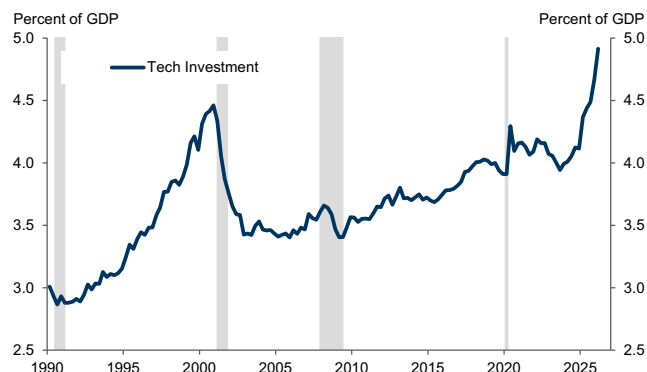
Exhibit 4: Market pricing of US growth already moving past our 2027 growth forecasts

Source: Goldman Sachs Global Investment Research

4. Back to AI amid booming capex. The AI theme is back in force and has again been a focal point for markets. Outside energy-related areas, the markets that have moved most decisively through their pre-war highs are AI-heavy indices such as Korea, Taiwan and Nasdaq. As in 2025, concerns in Q1 about the sustainability of the AI boom have dissipated in Q2 in a way that has overlapped with, but is separate to, a broader macro shock. The value creation here continues to favor heavily those involved in supplying the AI investment boom, especially in the semis/memory spaces where shortages are clear. Capex projections have moved sharply higher, driving positive earnings revisions across those beneficiaries, and tech investment spending has now exceeded the peaks from the late 1990s as a share of GDP. But with profits holding up (corporate profits as a share of GDP are also at their highest on record), most of the macro imbalances that signaled growing trouble in the late 1990s are still not visible yet. Worries about private credit, which we think are unlikely to have systemic consequences, have also settled a little.

Exhibit 5: Another sharp rise in hyperscaler capex expectations

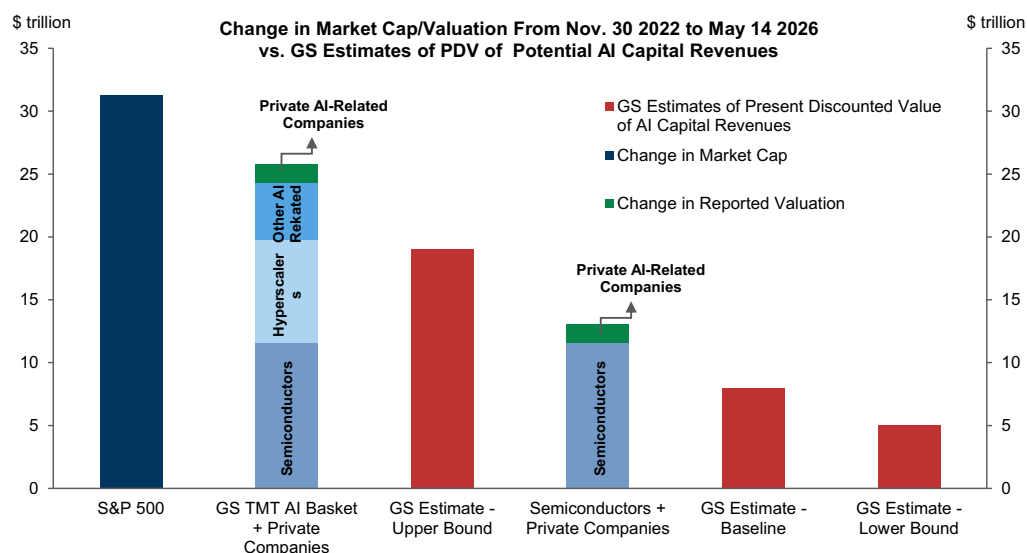
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 6: Tech investment already at record levels

Shading indicates NBER recessions. Tech investment includes private nonresidential fixed investment in software and information processing equipment.

Source: Haver Analytics, Goldman Sachs Global Investment Research

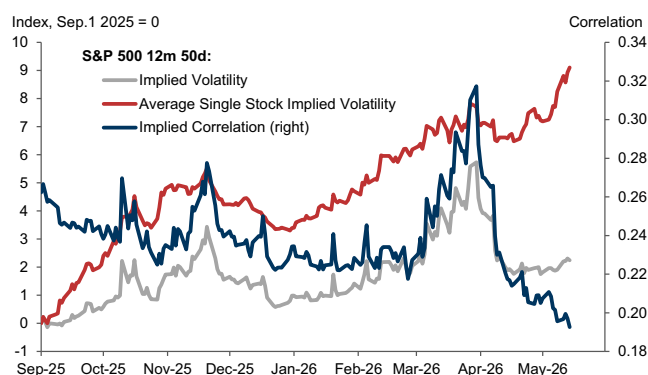
5. The value challenge. As we highlighted in our outlook for 2026, the AI theme is a poster child for the broader tension between a macro cycle that (ex the Iran shock) still looks like it has room to run and market pricing that already looks quite generous. The latest rally has continued to drive the cumulative value embedded in AI-related companies higher. And while not all of this is directly attributable to AI, the market is taking credit for substantial macro benefits. This increases the vulnerability to worries about whether the benefits will be justified and whether they are appropriately allocated (in particular, whether it is sustainable for them to accrue so heavily to the chip layer). There has been more focus on potential winners and losers this year—and dispersion has risen. But the risk is that the market falls into either a fallacy of aggregation (assuming that more individual companies can be winners than the economy overall can deliver) or of extrapolation (assuming that earnings supported by the investment boom itself can be sustained). As long as earnings and spending plans continue to rise more quickly than expected, there is likely to be a tailwind to the AI complex. But in the process, the market may build a valuation overhang that may need to be resolved at some point.

Exhibit 7: Even more value built into AI-related areas

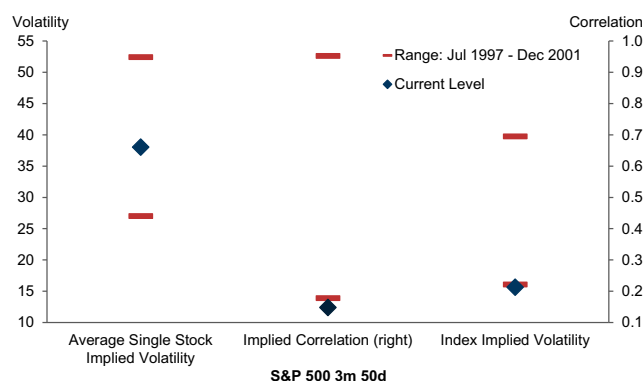
"Semiconductors", "hyperscalers", and "other AI-related" are constituents of the GS TMT AI basket (developed by GS Global Banking & Markets)

Source: Bloomberg, FactSet, Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

6. Higher volatility, but not yet broad-based. One of our core views for 2026 was that longer-dated equity volatility was likely to rise structurally, as volatility around the AI theme and its financing or late-cycle macro dynamics became more prominent. Since last September, there has been a clear upward drift in longer-dated implied volatility in the SPX, despite a sharp rally in equities over that period. But the rise in average single stock volatility—and in concentrated indices like Korea—has been much larger and more persistent than the index story. We think that this is partly because there has been more focus on “distributional” volatility within the AI theme (winners versus losers) than on “macro” volatility (the aggregate value). This has raised single stock volatility but pushed correlations to record lows, limiting the upward pressure on volatility in broad-based indices. We still think that there are good reasons for index volatility to rise over time and any macro shock should drive correlations higher. So we still like pairing long equity views with longs in longer-dated SPX volatility and see longer-dated equity options as appealing ways to limit losses while retaining exposure to further equity upside. And we generally like the idea of owning volatility across assets, whenever it cheapens meaningfully. But the mix of high single stock volatility and low correlation—which we saw at points in the late 1990s too—does mean that index volatility may rise less than expected in some of these shocks.

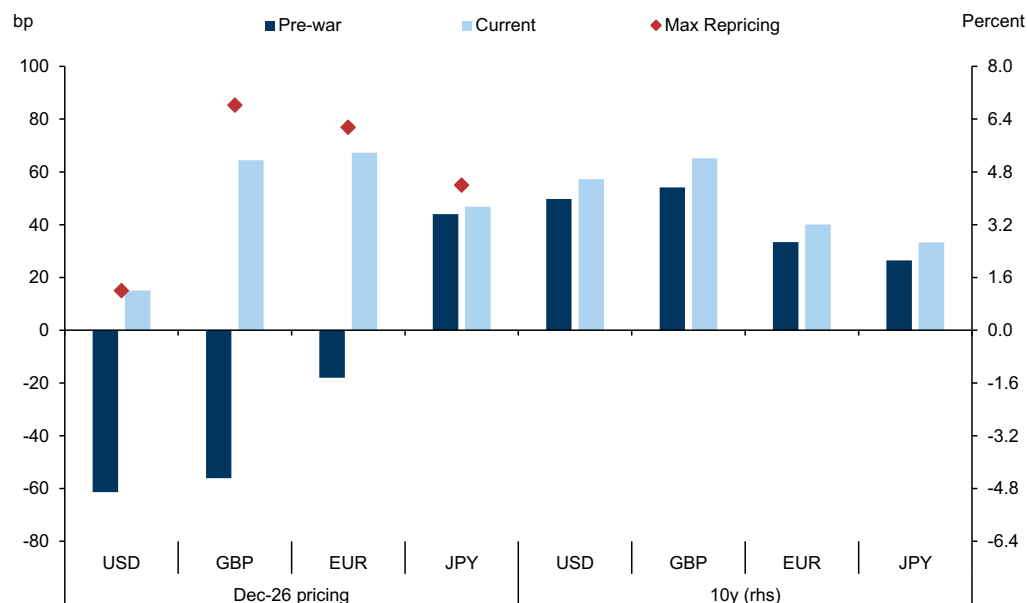
Exhibit 8: Rise in single stock volatility more persistent than at the index level

Source: Goldman Sachs FICC and Equities, Goldman Sachs

Exhibit 9: Index volatility and correlations still low versus the late 1990s

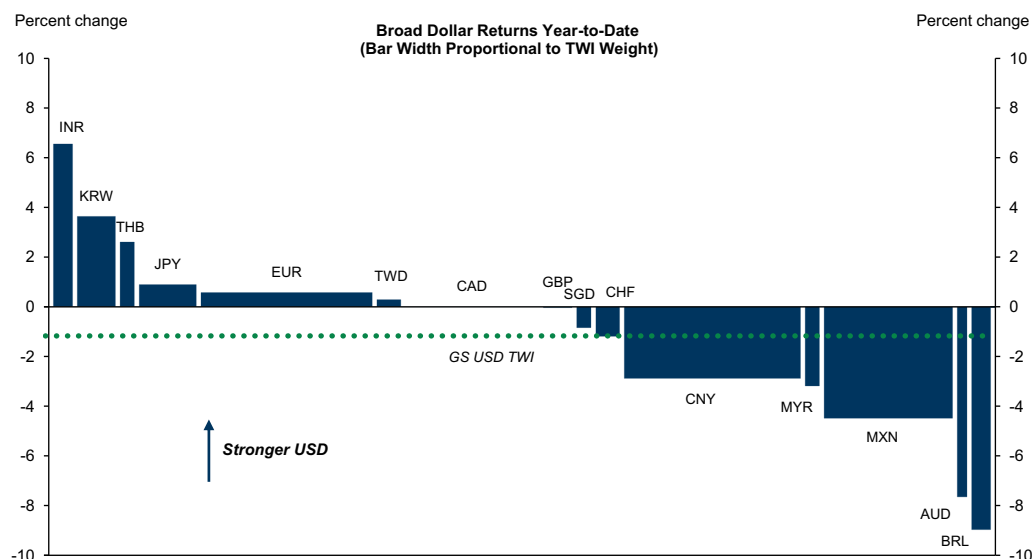
Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

7. Rates running out of time. While many assets have retraced fully and beyond, the hawkish shifts across rates market pricing have generally held. As we move through this messy stalemate where the Strait of Hormuz is still closed, energy prices are still high, growth is holding up, but the first signs of higher prices are coming through in inflation prints, it is possible that the market re-tests or surpasses some of the highs in front-end rate pricing. We continue to think that the threshold for hikes in the US is still very high, or, for that matter, extended hikes elsewhere. But the bulge in inflation without labor market weakening clearly makes easing harder too. Certainly relative to our dovish views coming into the year, we now expect fewer or no cuts across the world, with markets having moved even more hawkishly relative to that. This leaves the forward outlook more balanced than before the war, with more risk of hikes reflected in market pricing. If the energy supply situation resolves, and if the sequential inflation bulge moves through quite quickly, there is again scope for rate relief, particularly front-ends. So, while our bias continues to be that the hikes priced across many DM and EM front-ends are unlikely to be matched, we are also running out of time for cuts in 2026. Linked to that, terminal and longer-dated rates have also been dragged higher by the Iran crisis, and by higher term premia in the UK and Japan. Those moves are also at odds with prior worries about AI displacement and labor market slack, so there too there may be scope for a modest reprieve in the event of an Iran resolution; but it is likely to be limited given ongoing fiscal expenditures (on defense, energy security, or social support) and private spending (on the AI infrastructure build-out).

Exhibit 10: Hawkish repricing has extended from front-ends to long-end

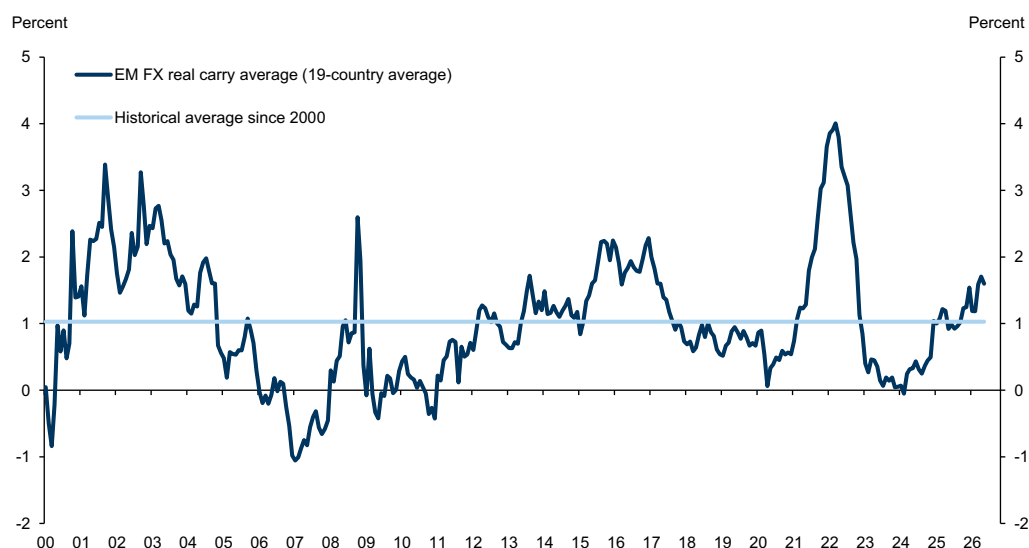
Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

8. Dollar stability masks deeper FX shifts. The reversal in the Dollar since the ceasefire means that it is now largely unchanged, both since the Iran crisis, and year-to-date. Shifts in the Dollar—both up and back down— have been mostly in line with the moves implied by the beta to commodities and risk assets. In that limited sense, Dollar correlations have behaved as expected through this shock so far, and we do not see any new impulse to De-Dollarisation in its broad stability. That stability does, however, mask other significant trends playing out across global FX. Near-neighbour crosses like NOK/SEK (Norwegian versus Swedish Krona) and AUD/NZD (Australian versus New Zealand Dollar) have moved much further to reflect commodity terms-of-trade differences and are now at multi-year extremes. EM FX carry has also continued to generate strong total returns, both versus the Dollar but especially against lower-yielding funders such as the Euro, Swedish Krona and Thai Baht. Potentially even more important is the trend towards sustained CNY appreciation, that has continued through this period. While the Trump-Xi summit could prove a catalyst for more CNY strength, we think that the case for a stronger Renminbi is more fundamental and longer-lasting. China's external surplus is approaching unprecedented levels as a share of global GDP, reflecting deep levels of export competitiveness, and also a highly undervalued currency, with currency appreciation an equilibrium outcome. The Japanese Yen is also very cheap, and while fresh bouts of intervention are a reminder of that reality, we don't see sustained strengthening unless there are stronger concerns about a recession (with lower equities and rates) or there is a more meaningfully hawkish pivot from the BoJ.

Exhibit 11: Broad Dollar stability masks large moves

Source: Bloomberg, Goldman Sachs Global Investment Research

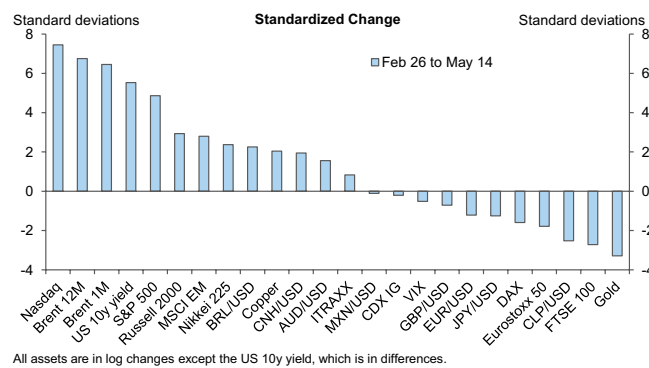
9. EM: Carry on waiting. The EM equity complex, with its exposure to the memory cycle via Korea and Taiwan, and to commodities via LatAm, has managed to generate strong outperformance YTD despite the energy price volatility. That barbell should remain well-suited to the current environment even as the North Asia (long ‘chips’) versus South Asia (short ‘oil consumers’) differentiation becomes even more stretched. But EM carry has been an additional outperformer as we wait in a zone between no clear deal to re-open the Strait of Hormuz but also no kinetic hostilities. Much of this outperformance relates to the fact that many high-carry EM currencies—such as BRL, MXN and COP—also happen to be energy producers. But there has been another underappreciated factor that should lengthen the window in which EM carry can perform. Even if some of the rate hikes priced in DM and EM curves are not delivered, the bar is now higher for rate cuts as Central Banks ‘wait and see’ whether energy supplies are restored, price shocks are indeed transitory, and second-round effects are avoided. As a result, not only is the level of EM carry now higher than it was at the start of the year and high relative to long-term averages, we also now expect a slower decline in real rates and carry levels relative to the start of the year. Taking into account carry levels, relative terms-of-trade shifts and idiosyncratic developments, we prefer BRL, HUF, MXN and ZAR as Longs for an EM Carry Basket. More diversified funders (including EUR, SEK and THB, apart from the Dollar) offer higher carry returns alongside added resilience to energy price and risk sentiment shifts.

Exhibit 12: EM carry has edged higher YTD and is higher than long-term averages

Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

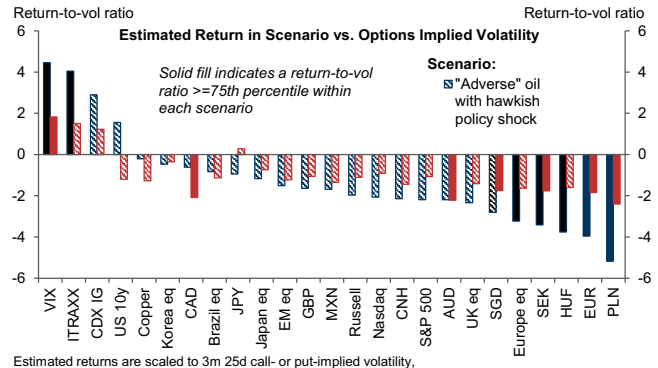
10. Shortages and beyond. Even as the escalatory tail remains crimped, a prolonged messy ceasefire still creates opportunities and risks to navigate. A simple framework for some of the sharpest asset price moves we see is that they reflect physical shortages: prices need to rise sharply to signal that more capital is needed and to incentivize it to flow there. That includes memory chips, power and—at least for now—energy products. Energy resilience is also likely to be a growing theme driving capital spending into renewables across oil-deficient Asia and Europe. Until some of those shortages are resolved, say because new, cheaper sources of supply become available, those moves may be sustained. The counterpart to this is that booming AI investment, fiscal spending, including on defense, and resilient commodity markets may keep bond yields higher than normal. Away from these areas, EM carry strategies can continue to perform against a range-bound Dollar backdrop, and we think it makes sense to retain exposure to the growing divergence between energy exporters/producers and importers/consumers in both equities and currencies as long as full resolution is some way off. In the event of a fuller resolution of the Iran war, the path for risk assets should be further buffered by rate relief (as hike pricing relaxes) and the fact that downside growth tails (from the energy constraint) are set aside. But it is also likely to be punctuated by bouts of volatility given optimistic growth pricing, concentrated positioning, and risks to long-end rates (especially if growth damage is less than feared). So we continue to advocate for meaningful hedges of the downside tails, especially in the shorter term. Renewed worries about credit and equity markets digesting AI-related issuance, returns on those investments, and the aggregation/extrapolation fallacies also argue for pairing constructive risk positions with long volatility exposure to protect against those reassessments and market reversals.

Exhibit 13: Best-performing assets mostly linked to either AI or energy shortages



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 14: We continue to like hedging for downside tails, with downside in European assets still screening well



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

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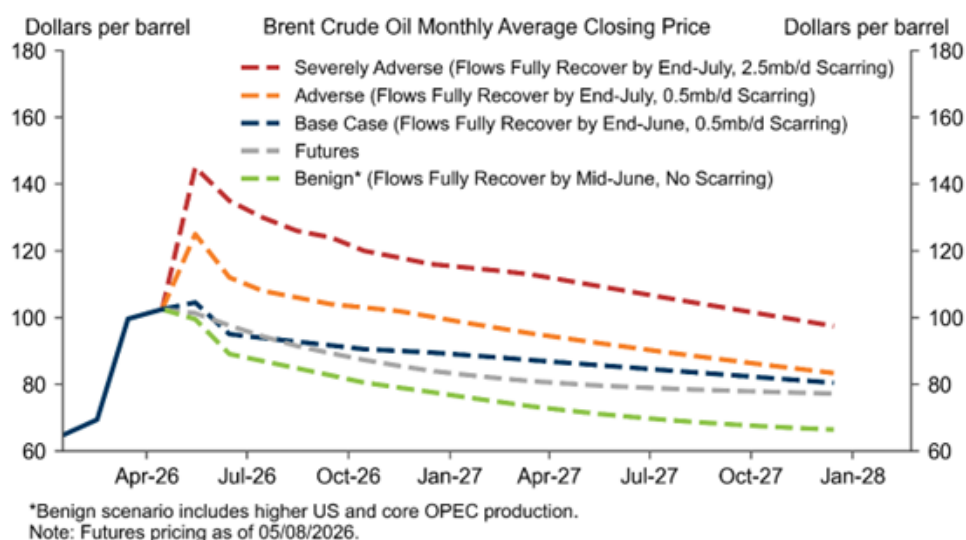
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Global Views: Bending, Not Breaking

1. We see three reasons why the 10-week closure of the Strait of Hormuz has hurt global growth only moderately so far. First, oil prices have not risen as much as expected, partly because of unusually high pre-war inventories and partly because markets never lost faith that very large consumer price hikes would prompt a US policy shift. Second, physical shortages in areas such as jet fuel have so far been met with relatively painless forms of demand destruction (e.g. a large shift to renewables in China and reduced flight schedules on lower-value routes globally). Third, fiscal policy, the AI boom, and—with a brief interruption in March—financial conditions have been supportive all year. Under our baseline assumption of a gradual Strait reopening that starts soon and finishes in late June, we see Brent prices stable in the near term and edging down to \$90/barrel by year-end. However, the risks remain tilted toward more adverse outcomes, higher oil prices, and greater economic damage.

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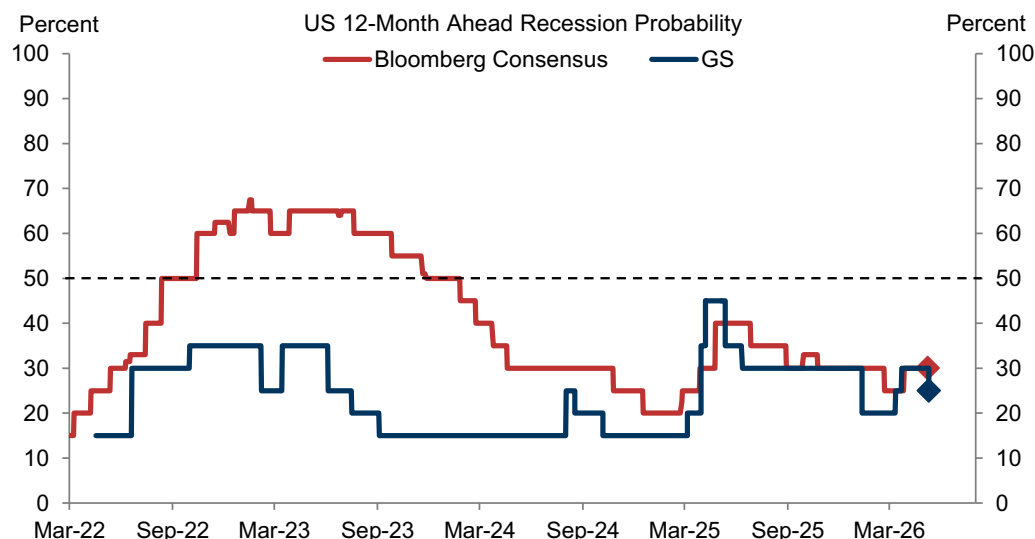
Exhibit 1: Oil Price Risks Still Skewed to the Upside



Source: Goldman Sachs Global Investment Research

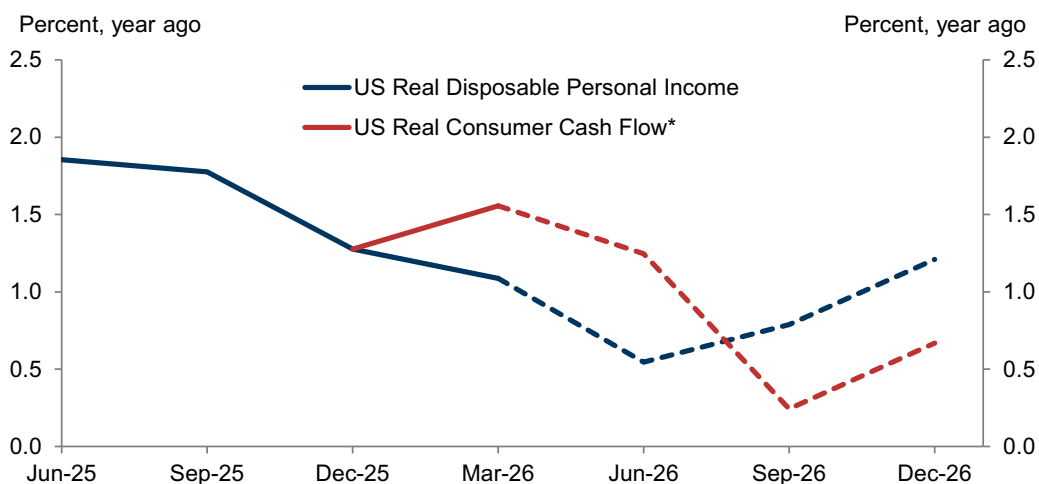
2. We have shaved our 12-month US recession probability from 30% to 25% as economic activity has held up well and our financial conditions index has eased back below pre-war levels. While headline GDP growth fell short of expectations in Q1, private domestic final sales grew at a solid 2.5% in real terms. Moreover, the labor market news has mostly beaten expectations, with a bigger-than-expected 115k increase in nonfarm payrolls in April, a stable 4.3% unemployment rate, and a sharp decline in jobless claims.

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Exhibit 2: Recession Risk Looks Incrementally Lower

Source: Bloomberg, Goldman Sachs Global Investment Research

3. But our recession risk estimate remains 5pp above the pre-war level and 10pp above the unconditional long-term average. Moreover, our baseline forecast entails below-trend growth in coming quarters, mainly because consumers face weakness in real disposable personal income and real cash flow. The boost to cash flow from strong tax refunds is about to fade, and the drags from higher gas prices, slowing nominal wage gains, and reduced healthcare subsidies are likely to persist. With the personal saving rate already down to 3.6%, the lowest level in three years, weaker income and cash flow is likely to translate into weaker consumer spending.

Exhibit 3: Real Income and Cash Flow Are Likely to Soften in H2

Note: Dashed lines indicate GS forecasts.

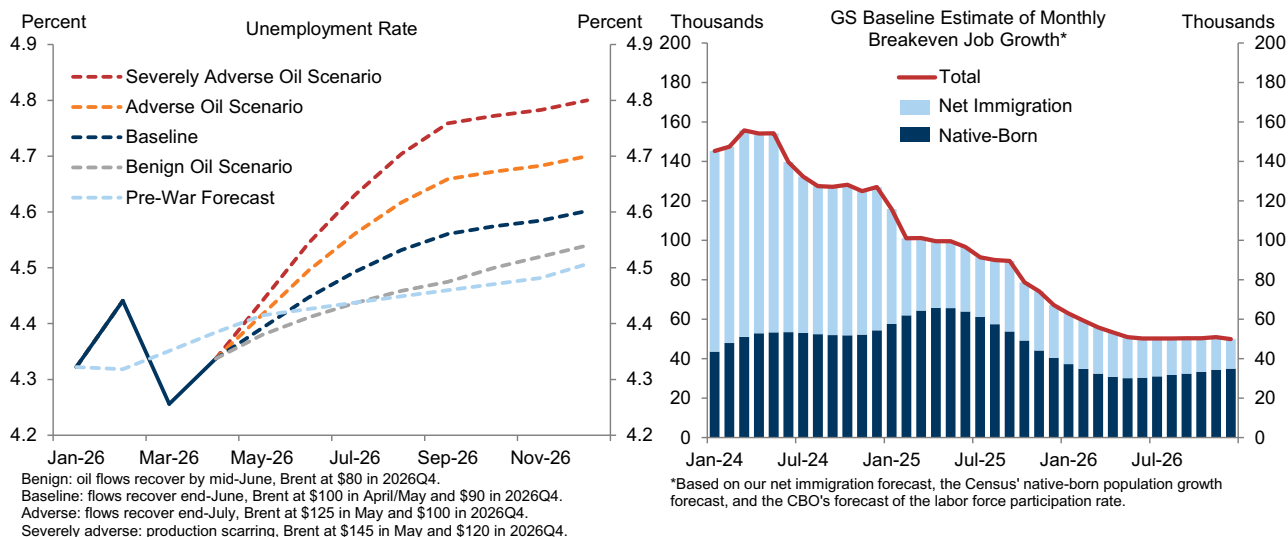
*Adjusted for the timing of OBBBA-related boosts to tax refunds and reductions in tax payments.

Source: Haver Analytics, Bureau of Economic Analysis, Goldman Sachs Global Investment Research

4. Beyond the weaker growth outlook, there are two other reasons why the US unemployment rate is likely to drift higher. First, US productivity has already accelerated from a 1.5% trend before the 2020 pandemic to 2.1% since then, and the improvement

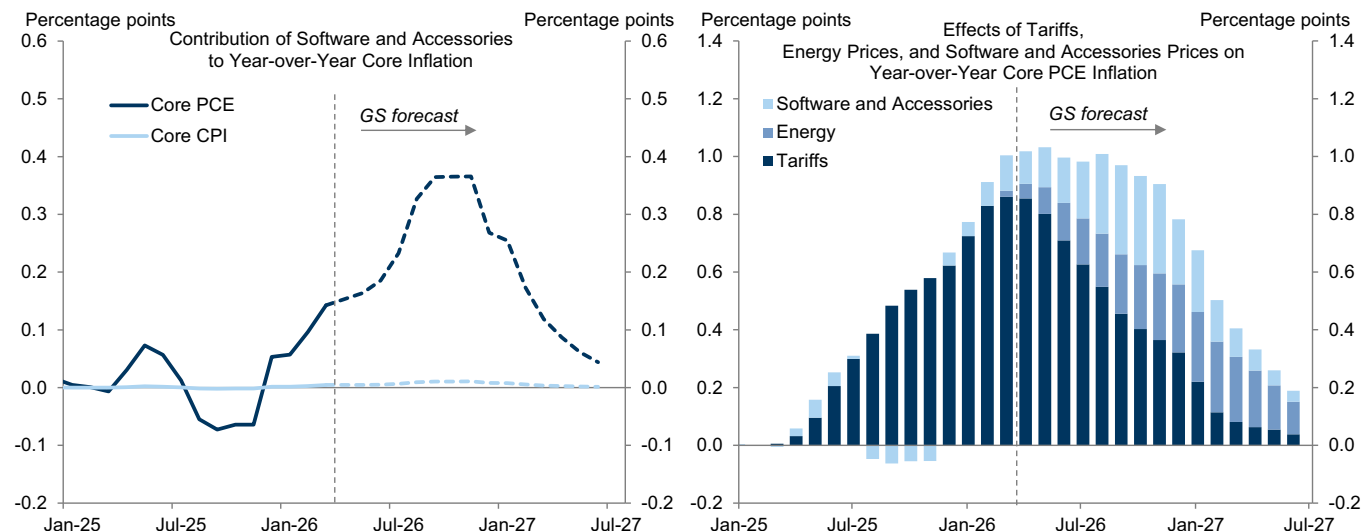
is likely to continue as the AI impact broadens. This means fewer new jobs for any given GDP increase. Second, we believe the Fed staff and many private-sector analysts have overshot in revising down their estimates of the “breakeven” rate of payroll growth to around zero. Our estimate of around 50k is consistent with the fact that the unemployment rate has fallen by only a few basis points on net this year, despite average payroll growth currently reported at 76k.

Exhibit 4: Unemployment Likely to Rise, in Part Because Breakeven Payroll Pace Remains Positive



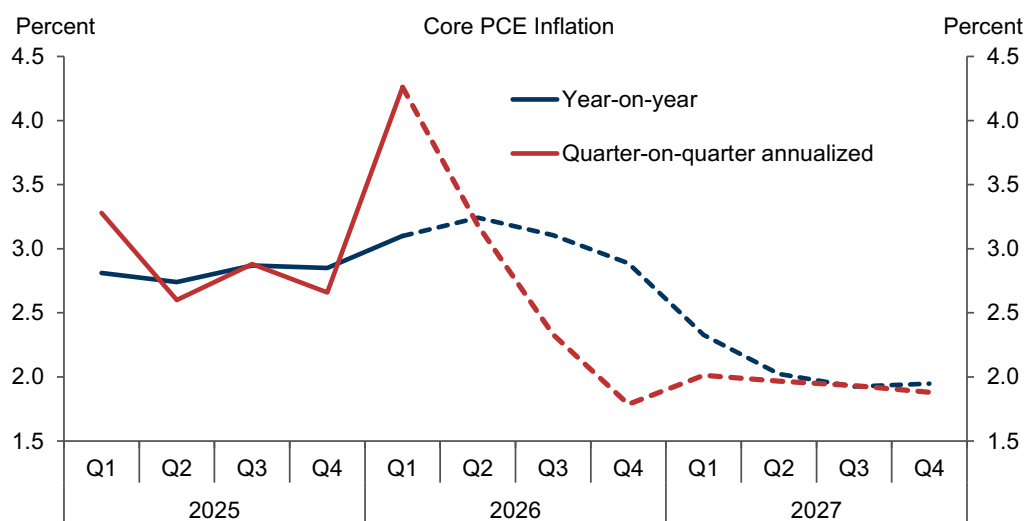
Source: Goldman Sachs Global Investment Research

5. Two distortions related to the AI boom have worsened the near-term outlook for core PCE inflation. First, after adding new AI features to software packages such as MS Office, Microsoft and other firms now charge a higher price for the new bundle than for the prior standalone package. The official statistics don't adjust for the expanded offering and thus incorrectly treat this as a pure price increase. Second, the combined weight of software and accessories—where prices have also surged on the back of costlier memory—is 30x higher in PCE than CPI, apparently because the underlying survey incorrectly captures not only consumer demand but also some demand from small businesses. Together, these distortions are likely to boost the year-on-year rate of core PCE inflation by 0.4pp later this year. Combined with an estimated 0.3pp pass-through from higher energy prices, this will delay the renewed core PCE disinflation we have been expecting.

Exhibit 5: Software Is Yet Another Transitory Inflation Shock

Source: Haver Analytics, Goldman Sachs Global Investment Research

6. The longer-term outlook for core PCE inflation is better. While the boosts from tariffs, energy, and software/accessories should fade over the next year, two key drags are likely to remain in place. First, rent inflation should continue to slow as the official CPI/PCE shelter data catch up with market rents, which remain weak because investors overbuilt apartments in the immediate post-pandemic era in several markets (especially in the Sun Belt). Second, the labor market is a source of disinflation, with nominal wage growth of 3.6% year-on-year based on our GS wage tracker and unit labor costs growing just 1.2% year-on-year in Q1. We therefore see sequential core PCE inflation returning to 2% later in 2026, though the year-on-year rate is unlikely to get back to target until mid-2027.

Exhibit 6: Core PCE Inflation Should Look Better by Year-end, Especially in Sequential Terms

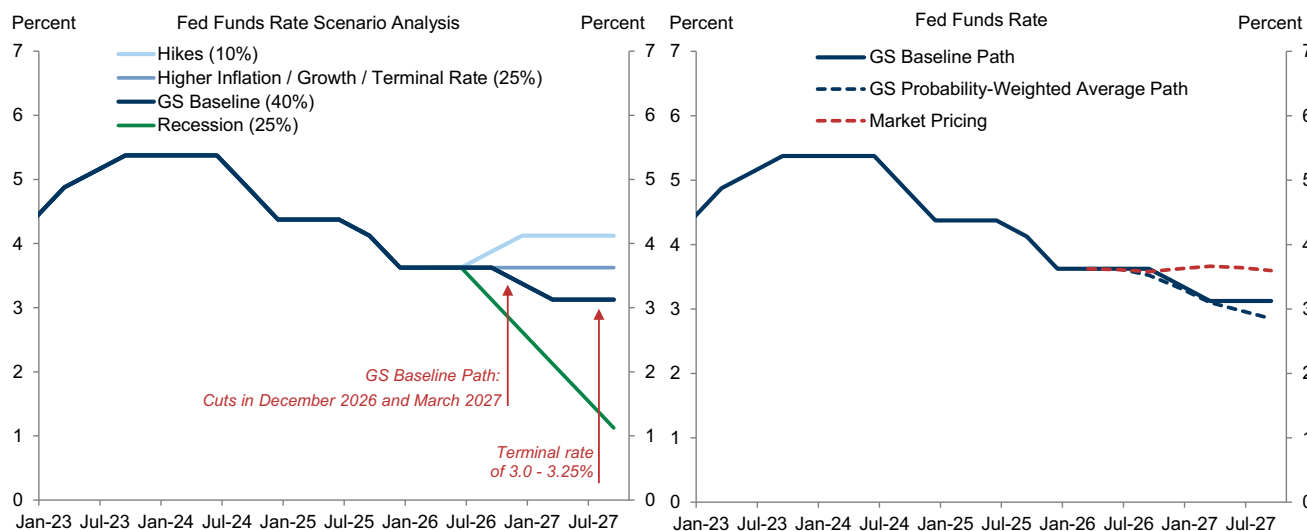
Note: Dashed lines indicate GS forecasts.

Source: Haver Analytics, Goldman Sachs Global Investment Research

7. Upside PCE inflation surprises, better labor market data, and growing hawkishness within the FOMC have led us to delay our forecast for two more 25bp normalization cuts

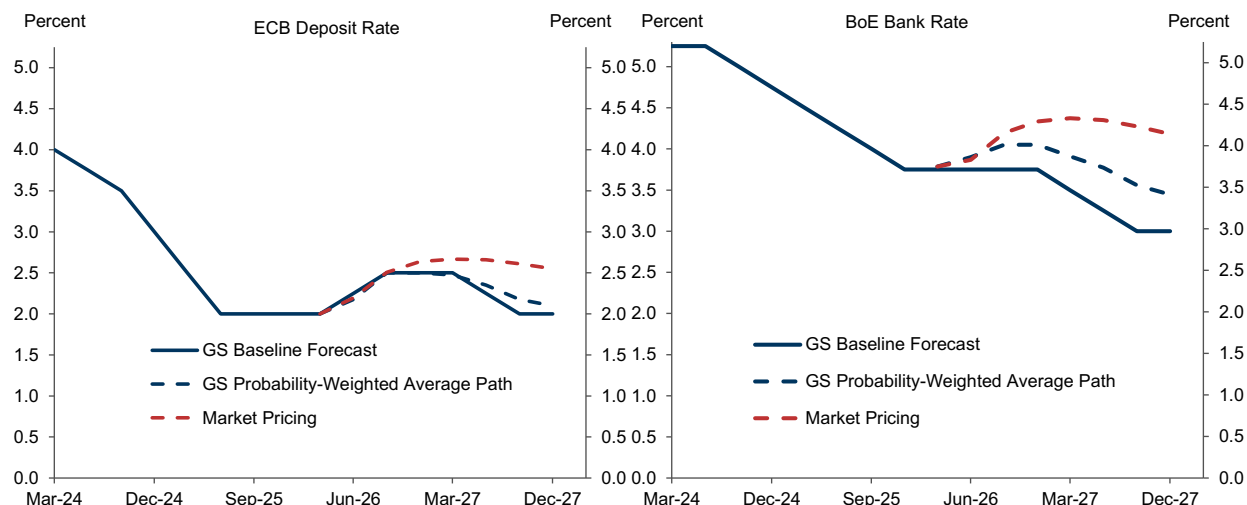
to December 2026 and March 2027. However, our forecast remains below market pricing, especially in probability-weighted terms. One important question will be the Fed leadership transition. We doubt the committee would endorse Kevin Warsh's earlier call for cuts in anticipation of AI-driven disinflation. But his more recent argument that trimmed-mean PCE—which is running 0.8pp below core PCE—is a better measure because it is less sensitive to one-time price shocks seems more promising. After five years of above-target inflation, most sitting Fed officials are reluctant to make this argument publicly, lest they be accused of cherry-picking. But many probably agree with it tacitly and might be persuaded to do so more openly alongside a new Chair.

Exhibit 7: Fed Cuts on a More Delayed Schedule



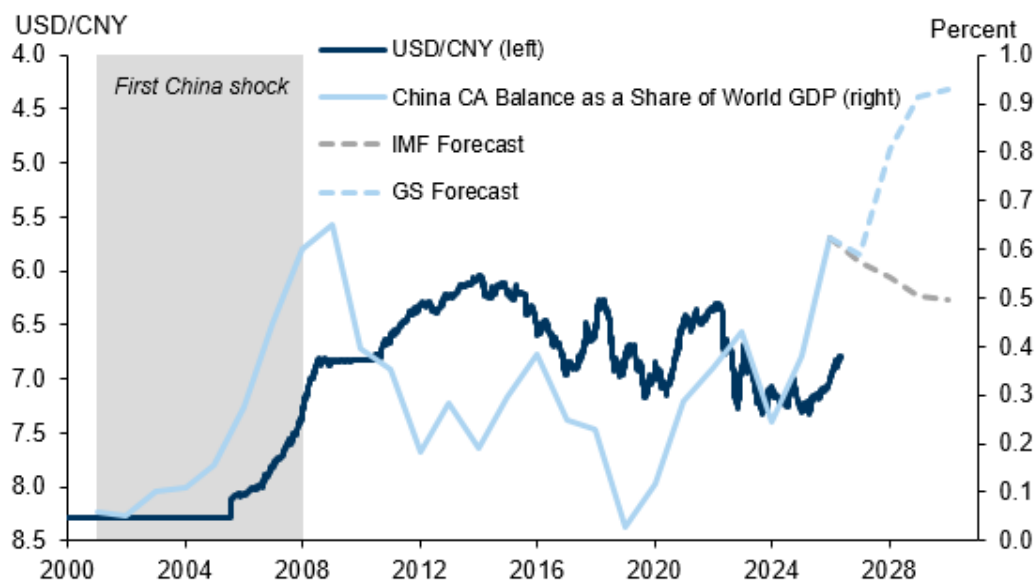
Source: Bloomberg, Goldman Sachs Global Investment Research

8. We still expect the ECB to deliver two 25bp hikes soon—probably in June and September—because of the low 2% starting point for the deposit rate and the historical tendency to (over)react hawkishly to oil-driven headline inflation shocks. However, the risk is on the side of no hikes because core inflation remains very well-behaved so far and ECB officials as a group are more open-minded about core vs. headline than in the pre-Draghi days. In any case, we think that any near-term hikes would probably be unwound in 2027. Across the Channel, we don't see hikes from the BoE in our baseline—in part because Bank Rate at 3.75% is clearly in restrictive territory—but they do constitute a meaningful hawkish risk.

Exhibit 8: We See the ECB Hiking and the BoE on Hold, But Our Views Are Dovish Relative to Market Pricing in Both Cases

Source: Bloomberg, Goldman Sachs Global Investment Research

9. In the run-up to this week's Trump-Xi summit, China's economy continues to benefit from strength in the export-oriented goods sector. This kept Q1 GDP growth at 5.0% year-on-year and our 2026 forecast at 4.7%, but the economy remains very unbalanced. While higher prices for imported energy should temporarily halt the increase in the current account surplus this year, we expect the combination of strong production and sluggish demand to push it further into unprecedented territory as a share of global GDP in subsequent years. The clearest market implication is that CNY is undervalued, especially against the US dollar where our FX strategists estimate a gap of more than 20% and have doubled down on their forecast of significant appreciation, with a new target of 6.50 in 12 months.

Exhibit 9: China's Record Current Account Surplus Should Boost the CNY

Source: Goldman Sachs FICC and Equities, Haver Analytics, IMF, Goldman Sachs Global Investment Research

10. If we wrote down the most frequent topics in discussions with market participants, the vast majority would be negative—an unprecedented oil supply shock, large fiscal

deficits, questions about Fed independence, population shrinkage, cyber/AI security risks, US-China rivalry, and the biggest war in Europe since WW2, amongst others. Moreover, equities are far from cheap. So why have they performed so well? The likely answer is the strength of the Q1 earnings season combined with the improving long-term outlook for productivity and thus profits on the back of the AI revolution. The latter is especially important in the US market, where our strategists estimate that earnings and dividends a decade or more in the future represent roughly 75% of fundamental value. That said, a market where the baseline is positive but the risks are so asymmetrically negative argues for combining long risk position with an exposure to equity volatility or significant hedges (our cross-asset strategists recommend equity puts struck deeply out of the money).

Jan Hatzius

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Reg AC

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